Market to Book Ratio

The market to book ratio compares the book value of the assets of a company to its market value. If a share's market price is treble or quadruple its book value, it signifies that investors have tremendous confidence in the growth prospects of the company. It can also suggest that the assets may be understated. If, on the other hand, the book value is more than the market value, the company may not be making profits and may not be enjoying investor confidence. The market to book ratio is calculated by dividing the market price per share by the book value per share.

$$\text{Market to book ratio} = \frac{\text{Market price per share}}{\text{Book value per share}}$$

For example, if the market price of the shares of Mithawala Chemicals Ltd. is Rs. 105 and the book value of its shares is Rs. 48, its market to book ratio is 105/48 = 2.1875.

The market value of the shares of Mithawala Chemicals is more than twice its book value. This suggests that either the assets of the company are understated or its prospects are good and that investors believe that it will grow in income, value and profitability.

As a rule of thumb, one should not purchase a share which is priced more than thrice its book value because the gap is enormous and the difference would not be backed by tangible assets. As a consequence, there could be a big fall in the price.

Table 9.1

Market to Book Value of Certain Selected Companies

Name of the Company	*Book Value as on 31-03-2010*	*Market Value as on 11 June, 2010*
ACC	320.11	855.00
Asian Paints	194.85	2288.50
Bajaj Auto	246.73	2306.00
Axis Bank	394.31	1239.80
State Bank of India	1057.10	2322.00
Cipla	67.61	337.05